

Decoy Pricing Strategy

What it is, where the evidence comes from, and how to use it responsibly

A note on accuracy: every statistic, study and figure in this guide is attributed to its original source, listed in the References section at the end. Where the research is contested or the effect does not replicate cleanly, that is stated directly rather than glossed over.

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1. What decoy pricing actually is

Decoy pricing is the practice of adding a third option to a set of two choices, specifically so that it changes which of the original two people pick, without the decoy itself being bought very often, or at all.

In behavioral economics and marketing research this is more formally called the decoy effect, the attraction effect, or the asymmetric dominance effect. All three names describe the same phenomenon.

The technical definition

A decoy is “asymmetrically dominated”: it is completely inferior to one option in the set (the target, the option the seller wants chosen) on every attribute that matters, but only partially inferior, or roughly comparable, to the other option (the competitor). Because the decoy is clearly worse than the target and only ambiguously worse than the competitor, its presence makes the target look like the obviously better deal, even though nothing about the target itself has changed.

This is the key thing to understand: a decoy does not work by making an option cheaper or better. It works by changing what the option is being compared to.

Three roles in every decoy set

Target	Competitor	Decoy
The option the seller wants chosen most often.	The option that would otherwise look most attractive by itself.	The option almost no one is meant to choose. It exists purely to make the target look better by comparison.

2. Where it comes from: the original research

The decoy effect is not a marketing invention. It was documented as a finding in academic decision-making research before it became a pricing tactic.

Huber, Payne and Puto (1982)

The effect was first demonstrated by marketing researchers Joel Huber, John W. Payne and Christopher Puto, published in the *Journal of Consumer Research* under the title “Adding Asymmetrically Dominated Alternatives: Violations of Regularity and the Similarity Hypothesis.”

Their classic experiment asked participants to choose a restaurant. Two options were designed to be equally appealing overall, trading off quality against convenience:

- A five-star restaurant that was a 25-minute drive away.
- A three-star restaurant that was only a 5-minute drive away.

When researchers added a third, decoy restaurant, a four-star restaurant that was a 35-minute drive away, it was worse than the five-star option on both dimensions (quality and distance), but not clearly worse than the three-star option. Participants shifted their preference toward the five-star restaurant, the option the decoy most resembled and was dominated by.

This established the core mechanism: introducing an alternative that is completely dominated by one option (but not the other) increases the share of choices going to the dominating option, a direct violation of the economic “regularity” assumption, which says adding an option to a choice set should never increase another option's share.

The finding has since been replicated across many studies and product categories, and is considered one of the most widely documented context effects in choice research.

3. The case everyone cites: The Economist study

The example that made decoy pricing famous outside academia comes from behavioral economist Dan Ariely, who documented it in his 2008 book *Predictably Irrational*. He had noticed an actual subscription page for The Economist magazine offering three options, and ran the pricing structure as an experiment with roughly 100 MIT students.

The original three-option page

Option	Price	What it included
Web only	\$59	Online access to Economist.com
Print only (the decoy)	\$125	One year of the print edition only
Print and Web (the target)	\$125	Print edition plus full online access

Notice that no rational buyer should ever choose “Print only”: it costs the same as “Print and Web” but gives less. That is exactly the point. It is not meant to be chosen. It is meant to make “Print and Web” look like an obviously superior deal next to it.

What happened when the decoy was removed

Choice set shown	Web only (\$59)	Print only (\$125)	Print and Web (\$125)
All 3 options (with decoy)	16%	0%	84%
Decoy removed (2 options only)	68%	—	32%

With the decoy present, 84 of the 100 students chose the \$125 bundle and none chose the decoy itself. When the researchers removed the print-only option and asked a separate group to choose between just the remaining two, preference flipped: 68% now chose the cheaper web-only plan and only 32% chose the bundle. As Ariely put it, “the most popular option became the least popular, and the least popular became the most popular,” caused entirely by the presence or absence of an option nobody actually bought.

Accuracy note: this specific result comes from Ariely’s classroom demonstration with about 100 students, reported in Predictably Irrational (2008) and in a follow-up piece he wrote for The Economist itself (“The Importance of Irrelevant Alternatives”). It is a widely cited illustration of the effect, not a large-scale controlled field experiment on live paying customers, and revenue-impact figures beyond the percentages above are not consistently sourced across reporting, so none are stated here.

4. Why it works: the psychology

People are generally poor at judging the absolute value of an option on its own. Instead, decision research shows people rely heavily on comparison, judging options relative to whatever else is in front of them at the time. A few mechanisms proposed by researchers explain why a decoy shifts preference so reliably:

Relative, not absolute, evaluation

Without a fixed internal reference for what a product should cost or include, people compare the options on offer to each other rather than to some independent standard, so changing the comparison set changes the decision.

Easy justification

A decoy gives people a simple, defensible reason for their choice (it is strictly better than that other one, for the same price), which reduces the mental effort and anxiety of choosing.

The dominance shortcut

When one option is obviously worse in every way than another, that comparison gets resolved instantly and confidently, and that confidence spills over, making the dominating option feel like the clear winner of the whole set, not just the pair.

Range and frequency effects

Some researchers, following Parducci's range-frequency theory, argue the decoy shifts how people perceive the underlying scale of an attribute, such as what counts as expensive, by changing the range of prices or features on display.

5. The honest caveat: does it always work?

This is the section most quick pricing articles about decoy pricing leave out, and it matters if you want to use this responsibly rather than assume it always works.

The original lab studies used simplified, numeric two-attribute stimuli, such as a rating of 7.2 for durability, or an exact drive time in minutes. In 2014, two independent replication papers tested the effect using more realistic conditions:

- Frederick, Lee and Baskin (2014), “The Limits of Attraction,” *Journal of Marketing Research*: found the effect largely disappeared, and sometimes reversed, once products were described with images, qualitative descriptions, or attributes people could directly taste or experience rather than as clean numbers.
- Yang and Lynn (2014), “More Evidence Challenging the Robustness and Usefulness of the Attraction Effect,” *Journal of Marketing Research*: ran 91 attempts to produce the effect and found only 11 reliable cases, far fewer than expected if the effect were as universal as often claimed.

The response from the original researchers was not silence. Huber, Payne and Puto published a rebuttal the same year, “Let's Be Honest About the Attraction Effect” (2014), arguing the effect remains robust when study conditions genuinely mirror the original paradigm, and a 2014 meta-analysis (Milberg, Silva, Celedon and Sinn) found a statistically significant overall effect across the accumulated literature.

What this means in practice

The decoy effect is real and well documented, but it is not guaranteed to transfer directly to every pricing page. It appears most reliably when options are compared on a small number of clear, comparable, roughly numeric attributes, such as price, storage size, number of seats, or word count. It becomes less predictable, and can even backfire, when a product is highly experiential, richly described, or evaluated through images and brand feeling rather than a spec sheet.

The practical takeaway is not “never use decoys,” it is “test it.” Treat any decoy tier as a hypothesis to A/B test against your own audience and product, not a guaranteed lever.

6. Three ways to structure a decoy

Most real-world decoy setups fall into one of these patterns. They differ in how obviously the decoy is dominated, and by which of the other two options.

Same-price decoy

The decoy costs the same as the target but offers less. This is the Economist pattern: Print (\$125) and Print and Web (\$125) cost the same, but Print gives strictly less. It is the clearest and most direct form of asymmetric dominance, because the comparison requires no mental math. The target is a strict upgrade for free.

Same-features, higher-price decoy

The decoy has roughly the same features or quality as the target but costs more. This nudges people away from the decoy and toward the target, which now looks like the same thing, cheaper. Useful when you want to protect a mid-tier price point without discounting it.

Extreme or compromise decoy

A close relative of the decoy effect is the compromise effect (Simonson, 1989): people tend to avoid extremes and prefer the middle option in a range of three, because it feels like the safe, moderate choice. Adding a high-end, expensive tier can make a mid-tier option look reasonable by comparison, even if almost no one buys the top tier. This is a related but technically distinct mechanism from asymmetric dominance: asymmetric dominance requires one option to be strictly worse, while the compromise effect just relies on extremeness aversion.

7. How to design a decoy pricing page, step by step

Step 1: Pick your target first

Decide which plan or product you actually want most customers to choose, usually the one with the best margin or the best long-term value for your business. Everything else is built around making this option look obviously right.

Step 2: Identify the natural competitor

This is the option that would win if customers only saw two choices, often the cheapest one, because price is the easiest attribute to compare. In the Economist case, this was the \$59 web-only plan.

Step 3: Design a decoy that is strictly worse than your target

The decoy should offer less than the target for the same price, or the same as the target for a higher price. It must not be better than the target on any attribute a buyer would care about, otherwise it is not a decoy, it is a genuinely competing option.

Step 4: Keep the decoy close in price or positioning to the target

The decoy needs to sit near the target, not near the competitor. If it is off in its own price bracket, the comparison it is meant to trigger will not happen.

Step 5: Make the comparison genuinely easy to see

Lay tiers out side by side with the same attributes listed in the same order, such as a comparison table, so the dominance is visually obvious at a glance, not something the buyer has to calculate.

Step 6: Only ever offer decoys that are real, purchasable options

Never list a fake or intentionally unavailable tier purely as a prop. If someone chooses the decoy, they need to be able to actually buy it and get what was promised. See Section 9 on ethics.

Step 7: Test before you commit

Given the mixed replication evidence in Section 5, run this as a genuine A/B test against your current pricing page and measure the effect on your own conversion rate and average order value. Do not assume the literature's average result will hold for your specific product and audience.

Step 8: Monitor for unwanted side effects

Watch total conversion rate, not just plan mix. Occasionally adding a decoy increases the share choosing the target among buyers, but discourages undecided visitors from buying at all because the page now feels more like a sales tactic. Track both.

8. Real-world patterns you'll recognize

Once you know what to look for, three-tier pricing pages that lean on this structure are common. A few commonly discussed, illustrative categories:

Software subscription tiers

Many SaaS pricing pages present Basic, Pro, and Enterprise (or similar) tiers with the middle or upper-middle tier deliberately positioned as the best value, often highlighted with a “Most Popular” badge, by making the tier just below it look noticeably restricted for a relatively small saving.

Concession-stand sizing

Popcorn, soda, and combo pricing at cinemas and fast-food chains is frequently cited in behavioral-economics writing as an everyday example: a medium priced only slightly below a large makes the large look like the obviously better deal per unit, even for someone who only wanted a small.

Media and subscription bundles

The Economist case in Section 3 is the best-documented example, and similar digital-only, print-only, both-for-the-same-price structures have been adopted by other publishers since.

These are presented as commonly discussed illustrations of the pattern, not as claims about any specific company's internal data or measured results. Verified figures are not available for most of them, so none are stated.

9. Ethics, compliance and how not to misuse this

Decoy pricing sits in a gray zone: it is a legitimate, well-studied presentation technique, but it can slide into manipulation if used carelessly. A few guardrails worth building in from the start:

Every option must be real

Do not invent a decoy tier that is not actually fulfilled, is not really in stock, or is quietly worse than advertised. That crosses from a pricing structure into a deceptive practice, and in many jurisdictions can fall under consumer-protection or false-advertising rules.

Disclose what each tier includes, clearly

The comparison should hold up under scrutiny. If a customer reads the fine print and feels misled about what the decoy tier actually offers, the tactic has backfired into a trust problem.

Do not stack it with other dark patterns

Decoy pricing next to countdown timers, fake scarcity claims, or pre-ticked add-ons compounds into what regulators and researchers describe as a dark pattern, a design intended to trick rather than inform. Use the decoy on its own merits.

Keep it proportionate

A decoy that is absurdly bad on purpose, rather than simply a reasonable middle tier, can feel obviously manipulative to attentive buyers and damage brand trust, even if it lifts short-term conversion.

This guide is for general educational purposes and is not legal advice. If you operate in a regulated sector or a market with strict consumer-protection rules, such as the EU's Unfair Commercial Practices Directive or similar national laws, check your pricing structure with a qualified legal advisor before launch.

10. Quick-reference checklist

- Decided which plan is the target, the one you actually want chosen most.
- Identified the natural competitor, the option that would win without a decoy.
- Designed a decoy that is strictly worse than the target on attributes buyers care about.
- Priced the decoy close to the target, not off in its own bracket.
- Laid out all tiers with matching attributes so the comparison is visually obvious.
- Confirmed every tier, including the decoy, is genuinely purchasable and accurately described.
- Set up an A/B test comparing the new structure to the current page, not just assumed it will work.
- Defined success metrics beyond plan mix, including total conversion rate and revenue per visitor.
- Checked the page does not rely on fake scarcity, countdowns, or other dark patterns alongside it.
- Reviewed against local consumer-protection rules if operating in a regulated market.

11. References

Every claim, figure, and study referenced in this guide traces back to one of the sources below.

- Huber, J., Payne, J. W., and Puto, C. (1982). "Adding Asymmetrically Dominated Alternatives: Violations of Regularity and the Similarity Hypothesis." *Journal of Consumer Research*, 9(1), 90-98.
- Huber, J., Payne, J. W., and Puto, C. P. (2014). "Let's Be Honest About the Attraction Effect." *Journal of Marketing Research*, 51(4), 520-525.
- Frederick, S., Lee, L., and Baskin, E. (2014). "The Limits of Attraction." *Journal of Marketing Research*, 51(4), 487-507.
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- Simonson, I. (1989). "Choice Based on Reasons: The Case of Attraction and Compromise Effects." *Journal of Consumer Research*, 16(2), 158-174.
- Parducci, A. (1974). "Contextual Effects: A Range-Frequency Analysis." In *Handbook of Perception*, Vol. 2. Academic Press.
- Ariely, D. (2008). *Predictably Irrational: The Hidden Forces That Shape Our Decisions*. HarperCollins. (Source of The Economist subscription example and reported percentages.)
- Ariely, D. "The Importance of Irrelevant Alternatives", commentary on the same experiment, as referenced in secondary coverage including The Conversation (2019), "The decoy effect: how you are influenced to choose without really knowing it."

This document summarizes findings reported in the sources above. For anything you plan to publish or rely on, verify against the original papers directly.